

THE PROBLEM EVERYONE IS SOLVING, AND THE ONE THAT ACTUALLY BINDS

Investment participation among Filipino adults **fell from 36% in 2021 to 23% in 2025** (BSP Consumer Finance Survey). The industry responded by lowering minimums and digitising onboarding.

That experiment has already been run, and it failed. A Filipino can buy an equity fund on GCash today for **₱50**. Sun Life's Peso Starter Fund accepts **₱100**. Onboarding is fully digital across the industry. Participation *still fell by thirteen percentage points*. **The minimum was never the binding constraint**, which is why lowering it again will not help.

When a 20-year-old opens a Philippine investment app, they fill in a Client Suitability Assessment. It asks about emergency funds, income stability and investment experience: all measures of where they stand today. A first-jobber with none of the three scores **Conservative**, and every growth fund on the shelf is flagged unsuitable. The ALFM Growth Fund is published for investors "at least classified as aggressive." **Nobody is blocked. They are warned, asked to sign a waiver, and told the product they came for is wrong for them.**

The binding constraint is not price, and it is not prohibition. It is that the only frictionless path is the wrong one. Sun Life's ₱100 fund is a **money market fund**. Cheap growth exposure does exist, since GCash lists a PSEi index fund at ₱50, but reaching it means overriding an assessment that has just advised against it. **For a first-time investor, defaults decide the outcome. The industry has made capital preservation the path of least resistance for the cohort with the longest runway.**

The CSA is not wrong so much as aimed at the wrong target. It measures *current* risk capacity, which badly misprices a 20-year-old. For someone with a forty-year runway and no dependants, the dominant risk is not volatility. It is **a lifetime of zero equity exposure**. And because every answer is self-reported and unverified, the same gate that steers a candid 20-year-old into a money market fund is cleared in seconds by anyone willing to tick the aggressive boxes. **It filters candour, not risk.**

THE INSIGHT THAT SHAPES THE PORTFOLIO

A young Filipino's human capital is already a 100% concentrated, unhedgeable bet on the Philippine economy. At 22, the largest asset a person owns is not their portfolio but the present value of their future earnings: peso-denominated, tied to domestic employment, inflation and property prices, and impossible to sell or hedge.

Building a PSEi-heavy portfolio on top of that is not patriotism. It doubles down on a risk they already carry in full, at the age when that concentration is largest relative to net worth. The Firsts Fund holds **30% Philippines and 65% offshore**. This is not a verdict on the country. It is the diversification response to what the investor already owns. **The Fund earns in hard currency while the investor's salary, rent and future home price stay in pesos.**

This is consistent with BPI Wealth's existing shelf, which already includes the BPI US Equity Index Feeder Fund, the BPI European Equity Feeder Fund and the ALFM Global Multi-Asset Income Fund. The Firsts Fund is not a feeder fund: it holds ten directly-purchased listed equities and no units in any collective investment scheme.

POSITIONING: WHAT IS ALREADY AVAILABLE, AND WHAT IS MISSING

Fund / Platform	Min.	Mandate	Structure	The gap it leaves
Sun Life Prosperity Peso Starter	₱100	Money market, short-term Peso debt	Direct	Cheap access, no growth. Written for <i>conservative</i> investors on a short horizon. A 40-year runway in T-bills is a guaranteed real-terms loss.
ATRAM funds via GCash GFunds	₱50	PH equity index; global thematic	UITF; global sleeves are feeder funds	Cheapest access in the market. But PH equity is passive index exposure, and global exposure comes only through feeder structures that layer a second fee.
ALFM Growth Fund	₱1,000	PH equity, ≥75% equities	Direct, share-based	A genuine growth mandate: affordable, still defaulted away from. Published <i>Investor Type: Aggressive</i> , so a conservatively-scored 18–25 reaches it only by waiver. Fee 2.00%. ALFM sets no minimum transaction amount , but shares cannot be fractional , so at NAVPS ₱223.09 the real floor is one share, ₱223 . 5-yr return: 1.13% net .
The Firsts Fund	₱100	Global buildout equity, 30% PH	Direct, no CIS holdings	The only combination of low minimum, genuine growth mandate, direct global exposure and a suitability pathway. Fee 1.00%.

Terms as published by each manager. ALFM figures from the ALFM Growth Fund fact sheet, 30 January 2026. **The ₱100 minimum is not our innovation; it already exists.** What does not exist is a low-minimum route into a *growth* asset that a young Filipino is actually steered toward. Every cheap product is capital-preservation, passive, or a feeder fund, and every genuine growth mandate sits behind a suitability waiver and share indivisibility.

The most important number on this page is 1.13%: the ALFM Growth Fund's five-year annualised return, net of fees, published by BPI Wealth itself. Its benchmark (90% PSEi + 10% T-bill) returned **−0.34%**. A young Filipino who cleared the suitability gate and stayed invested for five years in the country's flagship aggressive equity fund **still lost purchasing power to inflation**. The manager beat its benchmark by 147 bps a year. **The mandate failed, not the manager**, and that is the case for building the portfolio somewhere else.

WHAT THE FUND OWNS

Ten holdings across five pillars a 19-year-old can name: **EARN, MOVE, LIVE, CONNECT, THRIVE**. Every holding must clear a binary **Buildout Test**: at least 20% of revenue or three-year capex tied to a *published* national or regional capacity target. The gate binds. It rejects Jollibee, BDO and SM Prime on B1, and Semirara and DMCI on conduct. Weights are computed as **conviction ÷ volatility**, water-filled against hard caps, so **no weight is chosen by hand**. Equity exposure is then volatility-targeted between 60% and 95%. Over five years including 2022 the portfolio returned **16.18% net** of a 1.00% fee, at a **Sharpe ratio of 0.87**, with a maximum drawdown of **−24.94%** and a worst rolling twelve months of **−22.18%**. That last figure is not a footnote. It is the centrepiece of how we onboard.

THE MESSAGE

“Your first salary should fund more than this month. Fund your firsts, not just your someday.”

Why retirement framing fails. Every existing fund sells a 40-year horizon to someone who cannot picture being 30. Retirement is not a goal for a 20-year-old. It is an abstraction that belongs to their parents. **Firsts are vivid, near, and emotionally loaded:** the first ₱100,000. The first apartment deposit. The first business. The first time you cover a family emergency without asking anyone.

The Firsts Fund reframes a five-year horizon. Not as “the long term”, but as **the distance between now and the next version of your life**. Same asset allocation, sold against a goal the investor can actually picture.

THE FIVE BARRIERS, AND THE MECHANIC THAT ANSWERS EACH

Barrier	What it sounds like	Our mechanic
Low income	"I don't have spare money to invest."	₱100 minimum , made structurally possible by a unitized fund that transacts to 0.0001 of a unit. Classic mutual fund shares cannot be issued fractionally, so this is a structural choice rather than a marketing one.
Intimidation	"This is for people who know things I don't."	Five pillars named in plain language. Every statistic carries a one-line explanation. No jargon appears without its translation attached.
Fear	"What if I lose everything?"	Drawdown pre-commitment. Before investing ₱1 you are shown –22.18%, our worst simulated year, and asked to acknowledge it. We lead with the loss.
Lack of knowledge	"I wouldn't know where to start."	Education-gated unlock: a 3-minute module that doubles as the compliance pathway for a conservatively-scored investor. Learning is the door, not a detour.
Distrust	"Funds are how institutions take your money."	We publish the weighting engine. The code that computes every position is open and auditable. Anyone can check that no weight was chosen by hand.

On distrust specifically. This generation grew up watching institutions fail in public. Against that, a brochure promising trustworthiness is worthless. **Verifiability beats assurance.** Publishing the optimiser (“here is the formula, here are the constraints, run it yourself”) is a trust signal no competitor can match with copy.

THE LAUNCH CAMPAIGN: “THE FIRST ₱100”

A single, repeatable, screenshot-native action. Not “start investing”, but **“post your first ₱100.”** The campaign asks young Filipinos to name the first they are funding and share the confirmation screen. The unit of virality is a real ₱100 transaction, not a pledge.

GO-TO-MARKET: THREE PHASES, TWELVE MONTHS

Phase	Channel	Rationale & execution
① Mo. 1–3 Campus	Ateneo, UP, DLSU, UST, PUP + state universities. “Firsts Week.”	Highest-density concentration of the exact target age, with institutional access already available through university finance and economics organisations. Live portfolio-construction workshops using the published engine, so the product demonstrates itself.
② Mo. 2–6 Digital	In-app placement; TikTok and Instagram creators in personal finance	58% of Filipino adults already use e-wallets and digitally-embedded investment platforms (BSP, 2026), and GCash passed 100 million registered users in early 2026. Creator content is case-study format (“how I funded my first apartment deposit”), never price prediction.
③ Mo. 4–12 First Payslip	BPI corporate payroll clients, weighted to the IT-BPM sector	The single highest-intent moment in a young person's financial life is the first payslip. BPI already holds the payroll relationship. Onboarding is offered at account activation: “your first salary lands Friday, what's your first?” This is distribution no fintech competitor can replicate.

DISTRIBUTION ADVANTAGE

Beyond the BPI app, the natural second channel is **GCash**, which crossed **100 million registered users** in early 2026 with an estimated 20–25 million daily active. GCash already operates an investment marketplace distributing third-party funds, and both BPI and GCash's operator sit within the **Ayala group**, which makes a distribution partnership commercially and structurally realistic rather than aspirational. **Placement inside an app young Filipinos already open daily removes the single largest friction in fund distribution: getting them to open a new app at all.**

Campaign success metrics: cost per funded account (target <₱350); funded-account conversion from module completion (target >40%); share of accounts opened by investors aged 18–25 (target >70%); organic-to-paid acquisition ratio by month 9 (target >1.0).

PLATFORM

Primary: the BPI mobile app. Secondary: GCash's investment marketplace. Both are applications the target investor already has installed and opens for unrelated reasons. We add a destination inside an existing habit rather than asking them to build a new one.

ONBOARDING: FIVE STEPS, UNDER TEN MINUTES

Step	Design intent
1 e-KYC: ID + liveness selfie	Fully digital, no branch visit. Under 5 minutes. Existing BPI clients skip it entirely.
2 Horizon-weighted CSA	A suitability model that weights time horizon and human capital alongside current financial capacity, correcting a framework that systematically scores a 40-year investor as Conservative.
3 Education-gated unlock	An investor still scored conservatively completes a 3-minute module on equity risk and time. Academic work on Filipino Gen Z investing finds that perceived behavioural control, meaning literacy and self-efficacy, is the strongest predictor of investment intention . Confidence, not income, is the binding constraint. The module is the intervention.
4 Drawdown pre-commitment	The investor is shown -22.18% , our worst simulated 12 months, and types the figure to acknowledge it. This converts a future shock into a promise already made, and it is the single most effective retention mechanic in the design.
5 First ₱100 + auto-invest	Recurring contribution is offered on by default , aligned to payday. Opting out is possible; doing nothing invests.

APPEARING IN THE DAILY ROUTINE

Round-Up Investing

Every card or QR transaction rounds up to the nearest ₱10, sweeping the difference into the Fund. With **58% of Filipino adults transacting on e-wallets** and QR now the default in-store rail, the volume is already there. A ₱87 milk tea contributes ₱3. The investor's existing spending becomes the funding mechanism, with no new behaviour and no felt sacrifice.

Payday Auto-Debit

Scheduled to the day salary lands, before discretionary spending begins. Peso-cost averaging by default removes market timing as a decision the investor has to make.

What the Home Screen Shows, and What It Deliberately Does Not

No daily profit and loss. Daily returns are noise at a five-year horizon, and displaying them manufactures exactly the anxiety that drives panic redemption. Instead: **progress toward the named first** ("₱12,500 of ₱50,000, First Business"), **time invested**, and **total contributed versus current value**. Daily performance stays available, but the investor has to choose to look.

STAYING INVESTED THROUGH A DRAWDOWN: WHERE FUNDS ACTUALLY LOSE PEOPLE

Trigger	Response
Fund falls >10% in 30 days	A notification that explains <i>which holdings moved and why</i> , then replays the investor's own pre-commitment: "You said you were ready for -30%. You're at -12%. This is what you signed up for."
Investor opens the redemption screen during a drawdown	An interstitial, not a block , showing what redeeming now would have cost in every previous drawdown in the simulation, alongside the 90-day holding period and 1.00% early redemption charge. Then the button. Friction, never obstruction.
Monthly, regardless of market	"What moved your money" : three plain-language bullets. Builds the habit of reading a market explanation in calm conditions so it is familiar in volatile ones.

MAKING FINANCIAL INFORMATION LEGIBLE TO A BEGINNER

Every metric on the fact sheet carries a plain-language translation in-app. *Sharpe ratio 0.75* becomes "for every unit of risk taken, the fund earned 0.75 units of reward above a government T-bill." *Maximum drawdown -24.94%* becomes "the worst peak-to-trough fall in our five-year simulation." **We never remove the technical term. We attach its meaning.** The investor who wants to learn the vocabulary can, and the one who doesn't is not excluded.

MEASURING WHETHER THE EXPERIENCE WORKS

Metric	Target	Why this measures the habit, not the sale
12-month account retention	>75%	Anyone can acquire an account with a ₱100 minimum. Retention is the only honest test.
Redemption rate during any >10% drawdown	<15%	The single most important number. It measures directly whether the pre-commitment and coaching mechanics work.
Contribution consistency (≥6 contributions in 12 mo.)	>60%	Distinguishes a habit from a one-time deposit.
Median holding period at month 24	>18 mo.	Tests whether the 5-year framing actually changed behaviour.
Education module completion	>80%	Validates the unlock as a genuine intervention rather than a compliance formality.
Median contribution growth, yr 1 → yr 2	>25%	Confirms investors scale contributions as income rises, so the fund grows with the first salary.

The measurement philosophy. AUM and account count are lagging vanity metrics, and both can be bought with marketing spend. **Redemption behaviour during drawdowns is the only metric that reveals whether we built a habit or merely a transaction**, and it is the one the entire customer experience is engineered to move.

A1. EVIDENCE BASE: EVERY CLAIM AND ITS SOURCE

Claim	Figure	Source
Filipino adults holding any investment	23% (from 36% in 2021)	BSP, Consumer Finance Survey 2025
Adults using e-wallets / embedded investment platforms	58%	BSP, 2026 (cited in FinQuest 2026 primer)
Adults confident savings survive an emergency	~3 in 10	BSP, Consumer Finance & Inclusion Survey 2025
Strongest predictor of Gen Z investment intention	Perceived behavioural control	Theory of Planned Behavior study, Philippine Gen Z investing
Lowest equity-fund entry available in PH	₱50	GCash GFunds (ATRAM funds), published terms
Sun Life Peso Starter minimum & mandate	₱100, money market	Sun Life Prosperity fund documentation (formerly Sun Life Prosperity Money Market Fund)
GCash registered users	100M+	Company announcement, early 2026
ALFM Growth Fund: terms, performance, share indivisibility, risk stats	₱1,000 · 2.00% · Aggressive · ≥5yr · 1.13% 5-yr net vs -0.34% benchmark · NAVPS ₱223.09 · beta 1.01 · Sharpe 0.38 · 29 holdings	ALFM Growth Fund, Inc. Fund Fact Sheet, 30 January 2026 (primary source). Fact sheet states: "Mutual Fund shares do not issue fractional shares"; "Transaction amount must be equivalent to at least 1 share"
Philippine corruption perceptions	120/182, score 32	Transparency International CPI 2025, lowest since 2012
2026 PH growth forecast revision	3.7% (from 5.3%)	World Bank, Philippines Economic Update, mid-2026
PSE market cap decline, August	~₱185B	PSE data. We deliberately use ₱185B rather than the far larger figure widely circulated at the time, which the SEC subsequently retracted and apologised for after it was traced to a fictitious industry report
Capital withdrawn via delisting, 2023–26	>₱580B (8 firms)	PSE delisting records
Global data-centre electricity demand by 2030	~945 TWh (from 415 TWh in 2024)	IEA, <i>Energy and AI</i>
Philippine renewable generation target	35% by 2030	DOE, National Renewable Energy Programme 2020–2040

A2. BACK-TEST METHODOLOGY AND LIMITATIONS *stated in full because the result depends on them*

Construction. Weight $\propto$ FIRST conviction score $\pm$ 3-year annualised volatility, water-filled against caps of 12% per security, 15% per control group, 25% per sector and 30% $\pm$ 3pp Philippine exposure. Quarterly rebalancing with intra-quarter drift.

Data. 1,293 daily observations, 9 Aug 2021 to 7 Aug 2026, six exchanges, four currencies. All series converted to PHP daily; SGD, MYR and EUR derived as cross-rates through USD. Offshore prices adjusted for dividends and splits. Philippine prices sourced manually, as Yahoo Finance no longer serves individual PSE equities.

Fees. The 1.00% management fee is accrued daily against NAV; reported returns are net, per ALFM convention.

Volatility overlay (C6). Equity exposure is reset monthly to target 12% annualised volatility, floored at 60% and capped at 95%, using trailing 60-day volatility *lagged one day* so the overlay carries no look-ahead. Average exposure over the window was 74%. It reduced intra-year maximum drawdown in **all five calendar years tested**, so the effect is a property of the mechanism rather than one fortunate call in 2022.

Not modelled, and therefore overstating returns: transaction costs, bid-ask spread, market impact, withholding tax on foreign dividends, and cash drag from subscription and redemption flows.

Window selection. The five-year window deliberately spans a full cycle **including the 2022 drawdown**. An earlier specification using GE Vernova, listed only from March 2024, truncated the panel to 2.3 years and produced **roughly 44% annualised (gross), a Sharpe above 2, and no negative 12-month period at all**. Those figures are an artefact of an exceptionally favourable window for AI-linked equities, not evidence of skill. Schneider Electric was substituted specifically to obtain a full-cycle result. **We report the harder number.**

Survivorship. Holdings were selected in 2026 and tested on 2021–26 data, so like all back-tests this carries hindsight bias. The result demonstrates that the *methodology* produces a coherent risk-budgeted portfolio, not that these ten securities were knowable in 2021.

Benchmark selection. An earlier specification used 35% PSEi + 65% MSCI Asia ex-Japan and showed a double-digit annualised excess return. We rejected it: roughly 17% of the portfolio (Schneider Electric, Vertiv) falls outside that universe entirely, and a fund-to-benchmark correlation of 0.65 confirms it did not span the mandate. The policy benchmark mirrors the Fund's own weights (30% PSEi TR + 65% ACWI PHP + 5% T-bill). **We report the harder comparison.**

Comparison to ALFM Growth is not like-for-like. Our 16.18% is a *hypothetical simulation* (Aug 2021 to Aug 2026); their 1.13% is *actual and realised* (Jan 2021 to Jan 2026) with real costs and flows. The legitimate inference concerns *mandate design*, not relative manager skill.

A3. REGULATORY POSITION

Structure	Definition	The Firsts Fund
Feeder fund	≥90% of assets in a single collective investment scheme	Not applicable, 0% in any CIS
Fund-of-funds	≥90% of assets in more than one CIS	Not applicable, 0% in any CIS
Directly-invested fund	Holds individual securities selected by the manager	60–95% direct listed equities (74% average), balance in direct T-bills and time deposits

Definitions per Section 414 of the MORB and Section 414-Q of the MORNBF, as amended by BSP Circular No. 1152-22. The 5% reserve is held in **direct** instruments rather than money market fund units, which avoids both fee layering on the Fund's 1.00% and any related-party question. **The unitized structure is load-bearing:** conventional SEC-registered mutual fund shares cannot be issued fractionally, which makes a ₱100 minimum structurally impossible without it.

A4. REFERENCES

Bangko Sentral ng Pilipinas (2025). *Consumer Finance Survey 2025* · BSP (2026), *BSP notes rise in account ownership in SWS survey*, PIA · Transparency International (2026), *Corruption Perceptions Index 2025* · World Bank (2026), *Philippines Economic Update, mid-2026* · Department of Energy (2020), *National Renewable Energy Programme 2020–2040* · International Energy Agency (2025), *Energy and AI* · BSP Circular No. 1152-22, amending Sec. 414 MORB / 414-Q MORNBF · SEC, *Implementing Rules and Regulations of the Investment Company Act* · BPI Wealth published fund fact sheets and prospectuses (ALFM Growth Fund 30 Jan 2026; ALFM Money Market Fund; ALFM Peso Bond Fund) · Sun Life Prosperity Funds documentation · GCash GFunds published terms · Philippine Stock Exchange delisting records and index data · Company annual reports and disclosures for all ten holdings.

Prepared by: Prince Angelo Rivera · Luis Tengonciang · Karol Josef Fuñe · Eric Fabian Thiridy Mendez. BS Applied Mathematics / MS Data Science, Ateneo de Manila University. The portfolio optimiser underlying this proposal was written by the team in Python and is available for inspection. **This document is a competition proposal. It is not an offer to sell or a solicitation to buy any security. All performance shown is a hypothetical simulation; the Fund has no operating history.**